

Form No:HCJD/C-121
ORDER SHEET.

IN THE LAHORE HIGH COURT, RAWALPINDI
BENCH RAWALPINDI

JUDICIAL DEPARTMENT

Writ Petition No. 483/2015.

MK Pakistan Pvt. Ltd. Vs. Managing Director.

S.No.of order/ Proceeding.	Date of order/ Proceeding.	Order with signature of Judge, and that of parties of counsel, where necessary.
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22.05.2015. Mr. Muhammad Faisal Butt, Advocate for the
petitioner.
Raja Saim ul Haq Satti, Advocate for respondent.

Brief facts of this writ petition as mentioned in the
petition are that being a company, the petitioner has a
joint venture with Balochistan Coastal Development
Authority (**BCDA**) to hold, manage, occupy, run &
construct the Project, namely, Gaddani Fish Harbour
Mini Port, District Lasbela Balochistan. The petitioner
company is providing assistance in 1st phase of Gaddani
Fish Harbour-Mini Port District Lasbela. Through a
proclamation, published in daily “Dawn” on 04.3.2011,
BCDA invited the expression of interest for joint venture
projects in the virgin coast line from private
sector/investors. In pursuance of the proclamation and
after completing the codal formalities, an agreement
between the petitioner company and BCDA was executed
on 06.11.2013 and BCDA handed over the existing site

of fish landing Jetty as per the terms and conditions, duly mentioned in the agreement. The petitioner company invested huge amounts on the project by taking steps to complete the Gaddani Fish Harbour Mini Port with the help/assistance of foreign companies. Thereafter, Pakistan Tourism Development Corporation (**PTDC**) also published a proclamation of auction in daily “Nawa-e-Waqt” on 06.12.2014 for the sale/lease of its 172 acres open land at Gaddani District, Lasbella, Balochistan and invited the interested parties to participate in bidding. Bidding was held at PTDC Flashman’s Hotel, Rawalpindi on 22nd December, 2014. The petitioner deposited Bank-Draft of Rs.5,00,000/-, in addition to the fee amount of Rs.5000/-. The petitioner offered highest bid rates but the same proceedings were cancelled without any written letter to the petitioner. Second attempt of bidding was made by PTDC on 05.01.2015 wherein only the petitioner was interested to purchase the land. Thereafter, the Bank Draft of the petitioner was returned to the petitioner without disclosing any reason. Hence, this petition.

2. Learned counsel for the petitioner states that after the agreement between the petitioner company and BCDA, the land was handed over to the petitioner and same is continuously in possession of the petitioner

wherein the petitioner company has invested huge amounts on the project with the help/assistance of foreign companies. During the meeting, a decision has already been made for the sale of land to the petitioner by PTDC's management on 28.04.2015. The acts of respondents of rejecting the petitioner's bid are in violation of petitioner's right as duly guaranteed by the Constitution of the Islamic Republic of Pakistan, 1973. The inaction on the part of PTDC will not only hamper the project/cause losses to the petitioner but is also against the national interest of the country. Being in possession of land, the petitioner is willing to purchase the land on higher price to save its investments, if mutually agreed. Reliance is also placed on 2011 SCMR 1675, PLD 2006 SC 697, PLD 2014 SC 1, 2007 MLD 423, 2010 MLD 486, AIR 1988 SC 157 and AIR 1985 SC 1147.

3. Conversely, learned counsel for the respondent submits that PTDC is the owner of the subject land as is evident from the documents annexed with this petition and by participating in the bid the petitioner has also accepted the ownership of PTDC on the subject land. Petitioner's constitutional petition bearing No.909-2013 for enforcement of contract/agreement between the petitioner company and BCDA is dismissed by the High

Court of Balochistan on 16.03.2015. The price quoted by the petitioner is far less than the expected value and PTDC also reserved the right to accept or reject the bid in its auction proclamation. It is the prerogative of the PTDC to own/possess/operate and take any appropriate decision regarding its properties in order to safeguard its own interest and to promote best national interest. In future, all the interested parties including the petitioner will be entitled to participate in an open auction of the land subject to eligibility. No decision has been made for the sale of land to the petitioner by PTDC's management on 28.04.2015 as the same is just a working paper/agenda for the discussion, within management. Finally, submits that factual controversies have been raised by the petitioner for which constitutional petition is not the appropriate remedy.

4. I have heard the learned counsel for the parties and perused the available record.

5. By simply participating in an "auction" for the purchase of PTDC's land, no vested right is created in favour of the petitioner to be enforced by filing instant petition under Article 199 of the Constitution of Pakistan, 1973, especially when the bid of petitioner is rejected by the respondents. A vested right is created when it is considered mature in all aspects and no contingency

exists before its completion. The Hon'ble Apex Court has discussed the concept of vested right in the case reported as **Nabi Ahmed and another v. Home Secretary, Government of West Pakistan, Lahore and 4 others** (PLD 1969 SC 599 at page 616) as under:-

"What is a vested right? According to the Oxford English Dictionary, "vested" means "clothed, robed, dressed especially in ecclesiastical vestments.... vested rights essentially differ.... from rights which are contingent.... that is, completely created... vested interests may perhaps be defined as rights based not upon contract but upon custom". A close examination of these meanings and explanations reveals that a vested right is free from contingencies, but not in the sense that it is exercisable anywhere and at any moment."

6. The petitioner participated in the auction proceedings by accepting the stipulated terms and conditions duly written in auction proclamation wherein PTDC reserved the right to accept or reject the bid. The exercise of discretion by relevant authority is not amenable to interference in writ jurisdiction unless the same was arbitrary, fanciful or violative of any of the fundamental rights. The Hon'ble Apex Court has made a similar observation in the case reported as **Province of Punjab and another Vs Munawar Hussain** (2013 SCMR 1611), as follows:-

".....the exercise of discretion by relevant authorities was not amenable to interference in writ jurisdiction unless the same was arbitrary, fanciful or violative of any of the fundamental rights. This well established principle of Constitutional law has

time and again been reiterated by this Court. In *Munshi Muhammad and another v. Faizanul Haq etc.* (1971 SCMR 533) in similar circumstances this Court while upholding the judgment of the High Court held as follows:--

The view formed by the High Court is unexceptionable. Since the auctions in favour of the petitioners were not finally approved, they did not acquire any right in the properties, and had, therefore, no locus standi to ask for their transfer. According to the terms and conditions of the auction itself, the highest bids offered in the auctions were subject to the approval of the Additional Settlement Commissioner concerned, who may or may not accept the bids, without assigning any reasons for his action.

The manner of the exercise of this discretion by the relevant authorities, as conferred by law, is not amenable to writ jurisdiction of the High Court, unless it be found to be arbitrary or fanciful."

This view was followed in *Pervez Qureshi v. Settlement Commissioner Multan* (1974 SCMR 337) wherein the court observed as under:-

*"A mere bid at an auction if the bid is subject to confirmation, does not create any contractual right until the bid is confirmed. It is in the discretion of the auctioneer to confirm or not to confirm it. In the present case, the bid could not be confirmed, because the respondents 2 and 3 claimed that the auction was illegal as the property concerned had already been transferred. The Departmental Authorities found as a fact that it had so been transferred to the said respondents and cancelled the auction. The petitioner who was a successful bidder at the auction cannot claim to be a person aggrieved by this order of cancellation of the auction vide Civil Review Petition No. 22 of 1966 (*Abdul Hamid Khan v. The Settlement Commissioner, Lahore*), decided on the 17th June 1966 by this Court and *Muhammad Sharif v. Sharifuddin* (1972 SCMR 63)*

which is a decision in an appeal."

7. In view of the foregoing detailed discussion, I am of the view that the relevant authority has exercised its discretion as conferred by law. Since the auction in favour of the petitioner was not finally approved, therefore, petitioner did not acquire any vested right in the land, and thus, has no locus standi to ask for its transfer. The action of the relevant authority is not arbitrary, fanciful or violative of any of the fundamental rights requiring interference in constitutional jurisdiction. Therefore, I do not find any merit in this petition and the same is accordingly **dismissed**.

(MASUD ABID NAQVI)
JUDGE

Approved for reporting.

JUDGE

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